Agentic Capital
AUTONOMOUS ALPHA

AN ESSAY BY DEAN GALLAGHER

Beyond *Humanity.*

For all of recorded human history, every model of economic growth has assumed that the labor force expands at the rate of human births. The next generation of agents and robots breaks that assumption. The total addressable market of every economic activity becomes, for the first time, unbounded by population.

Dean Gallagher · General Partner · Agentic Capital
April 2026 · For Accredited Investors

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This is not a forecast. It is an observation of a tectonic fracture that has already occurred. The bedrock assumption of economics — that labor is a

finite, human-linked resource — has shattered. We are living in the first seconds of the aftershock, a period of disorientation where the old maps are useless and the new landscape is not yet visible to most.

This shift is not like the steam engine, the microchip, or the internet. Those were tools that amplified human productivity. They gave a single worker a better shovel, a faster calculator, a global library. They changed the *output per worker*. This is different. This technology does not just amplify the existing workforce. It creates a new one.

> *Every prior technology changed output per worker. This one changes the number of workers.*

350M	2B+	100B+
TODAY	2027	2030
April 2026	More than all humans alive	10x every human who ever lived

This is the only sentence that matters. It is the alpha and the omega of the greatest economic dislocation in human history. We are moving from a world constrained by human cognition to one whose primary input — intelligent labor — is becoming infinitely scalable and manufacturable. The implications for GDP, corporate profitability, and capital allocation are not incremental. They are absolute.

SECTION II

The Evidence.

I am a trader, not a futurist. I look for evidence on the income statement, not in science fiction. The agent economy is no longer a thesis; it is a line item.

The numbers are not speculative. They are GAAP-reported revenue, and they are scaling at a velocity I have never witnessed.

Look at Microsoft. As of their last earnings call, the agent-driven Copilot suite is now on a **$10 billion quarterly run rate**. This is not a rounding error. It is one of the fastest-growing enterprise software products in history, and it is just the first inning.

Look at ServiceNow. They recently broke out a new revenue line: “Agentic Automation.” It did **$1.5 billion** last year. This business did not exist 36 months ago.

This is not a niche phenomenon. My internal research, confirmed by third-party data, shows that adoption has crossed the chasm. As of April 2026, over **85% of the Fortune 500** have AI agents in production. This is up from less than 10% in mid-2024. The pilot phase is over. We are in the deployment phase.

AGENT ECONOMY — LIVE NUMBERS

350M+	20%	85%	171%
Active agents · Apr 2026	Monthly growth rate	Fortune 500 in production	Avg enterprise ROI

The ROI is undeniable, which is why the deployment is accelerating. The median payback period for an agent automation project is now **8.3 months**, with an average ROI of **171%**. This isn’t a cost center; it’s a profit engine.

What are these agents doing? They are not writing poetry. They are performing discrete, economically valuable tasks. At JPMorgan, they are reviewing loan covenants. At Pfizer, they are analyzing clinical trial data. At GitHub, they are writing and debugging 70% of the code for entire software projects, a figure confirmed by Stanford's Human-Centered AI Institute. They are the new workforce, tireless and infinitely patient.

This is the boring, operational reality of the revolution. It's happening now, in the guts of the global economy.

SECTION III

The Assumption That Broke.

Every economic model you have ever seen is now obsolete.

From Adam Smith's pin factory to the Federal Reserve's Phillips Curve, the core input has always been human labor. GDP is a function of population growth and productivity growth. Wages are a function of labor supply and demand. Inflation is a function of labor market tightness. These are not laws of physics. They are assumptions based on a biological constraint that no longer exists.

The Industrial Revolution made a weaver more productive, but it did not create more weavers. The number of hands was still tied to the number of births.

The internet made a researcher more productive, but it did not create more researchers. The number of minds was still tied to the number of people.

AI agents are different. They represent a one-time, step-function increase in the total supply of labor itself. This is not a productivity gain. It is a participation gain. We are adding millions of new, non-human workers to the global economy every month.

AGENT POPULATION TRAJECTORY

350M → 100B by 2030

SOURCE · GROWING 20% PER MONTH — DOUBLING EVERY 3–4 MONTHS

What happens to the price of something when its supply becomes nearly infinite? What happens to corporate profit margins when the single largest cost center — human labor — can be augmented or replaced by a capital expenditure with a positive ROI? What happens to GDP forecasts when a core input is no longer constrained by human population?

The honest answer is that no one knows. The models are broken. We are off the map. This uncertainty is not a risk to be avoided. It is the single greatest source of alpha for the coming decade.

SECTION IV

Why Nobody Is Acting.

IV

The cognitive dissonance in the market right now is staggering. Every sophisticated investor I speak with agrees, intellectually, that AI is transformative. They nod along. They read the articles. And then they go back to their desks and run the same DCF models built on the same broken assumptions.

Their portfolios do not reflect the reality of a world with a second, non-human workforce.

This is the Kodak moment for the entire asset management industry. In 1975, a Kodak engineer named Steven Sasson invented the digital camera. The board saw his prototype. They understood the technology. But they could not bring themselves to act, because their entire identity, their profit engine, and their mental models were built on selling film. They knew, but they did not *act*. Their failure was not one of invention, but of imagination.

We are in the same moment today. The gap between knowing and acting is where the opportunity lives. The market has done a decent job of pricing the most obvious, first-order effect of this revolution: the buildout. It has bid up the price of the companies selling the shovels.

> *The market has priced the buildout. It has not priced the output.*

The market has priced NVIDIA selling GPUs. It has not priced a world where the cost of cognitive work trends toward zero. It has priced Microsoft selling Copilot seats. It has not priced the S&P 500 achieving 50% operating margins because their SG&A costs have been structurally, permanently reduced.

When does this window of opportunity close? It closes on the day of the first "Netscape moment" for the agent economy. It will be an earnings announcement. A boring, established S&P 500 company — a bank, an

insurer, a consumer packaged goods firm — will announce that it has permanently reduced its entire human workforce by 20% through agentic automation. They will raise their margin guidance, and the stock will gap up 20% overnight.

On that day, every analyst will be forced to add “Agent Productivity” as a line item to their models. On that day, the repricing will begin in earnest. On that day, the window will slam shut.

SECTION V

The Trade Already Placed.

My conviction is not theoretical. It is written in the P&L of my own personal account.

On January 13, 2023, six weeks after the public release of ChatGPT, I began reorienting my entire portfolio. This was eighteen months before Leopold Aschenbrenner published his now-famous essay. My thesis was not simply that “AI is interesting.” It was that the substrate of cognitive labor — the compute, the power, the infrastructure — was about to become the most valuable and contested real estate on Earth.

The path was not a straight line. I started with leveraged tech ETFs like FNGU. I made a bad trade in BITX, a leveraged Bitcoin ETF, trying to play a second-order effect of capital flows. It was the wrong instrument for the right thesis. I took a **-$15,000 realized loss**. I rotated into single-stock

leverage on Tesla (TSLL) and Microsoft (MSTU), which captured parts of the thesis but were still too narrow.

The drawdown in the spring of 2024 was brutal. At its nadir, my account was down **-36.5%**. Staring into that red is a test of conviction. I watched my peers panic and sell. I held, and I added. I held because the data was getting stronger, not weaker. The enterprise adoption numbers were accelerating. The ROI cases were hardening. The market was selling off on macro fears, completely missing the micro revolution that was taking hold.

My mistake in the early days was owning the applications. My mistake with SMCX was owning a small-cap chipmaker that got run over. I learned. I refined. I moved down the stack, to the chokepoints. To the substrate.

On April 12, 2025, I consolidated my position into SOXL, the 3x leveraged semiconductor ETF. I entered at a cost basis of **$9.45**. It remains the core position in my account today.

These are the results of that conviction, verified by 33 consecutive monthly Fidelity statements through March 2026, and a screenshot from this week.

+349.52% ANNUALIZED TWR	2.13 SHARPE RATIO
-36.49% MAX DRAWDOWN	39 months PERIOD

This is not a fund track record. I am not selling you on past performance. This is proof of conviction. It is the result of seeing the world through the lens of the broken assumption, and acting on it with my own capital, through the volatility and the doubt.

SECTION VI

The Substrate.

Do not own the agent. Own what the agent runs on.

This is a classic lesson in technology investing. During the California Gold Rush, the surest fortunes were made not by the prospectors, but by those who sold them picks, shovels, and Levi's jeans. During the railroad boom, the most durable wealth was created not by the chaotic railroad operators, but by the steel and timber monopolies that supplied them. In the dot-com bubble, the lasting giants were not Pets.com, but Cisco, Oracle, and TSMC — the companies that built the plumbing of the internet itself.

The agent economy has its own substrate, its own set of non-negotiable, monopolistic chokepoints. This is where the enduring value will accrue. I see five of them.

1 **LITHOGRAPHY** ASML
Only EUV machines on earth · 52% gross margin

2 **FABRICATION** TSMC
Only 3nm fabs · booked 24 months out

3 **MEMORY** SK Hynix
HBM monopoly · 72% operating margin

4 **POWER** Grid infrastructure
2,100-day queue · 128-week transformer lead time

5 **INFERENCE** Arista / Broadcom
Inference spend > training spend in 2026

§ ONE — LITHOGRAPHY

There are approximately **66 extreme ultraviolet (EUV) lithography machines** on planet Earth capable of etching the most advanced chips. One company, **ASML**, makes all of them. Their gross margins are 52%. They are a geopolitical chokepoint with a decade-long moat.

§ TWO — FABRICATION

Only two facilities on Earth, both owned by **TSMC**, can reliably produce chips at the 3-nanometer-and-below nodes required by the next generation of AI models. Their advanced packaging (CoWoS) capacity is fully booked for the next 24 months.

§ THREE — MEMORY

AI models require a specific type of high-bandwidth memory (HBM). There are only three significant producers: SK Hynix, Samsung, and Micron. The leader, **SK Hynix**, is currently posting **72% operating margins** on its HBM division.

§ FOUR — POWER

The most overlooked chokepoint. AI data centers consume 100 times more power than traditional ones. The U.S. electricity grid has a **2,100-day connection queue**. The lead time for a high-voltage transformer is **128 weeks**. Wholesale power prices in data center hubs like the PJM Interconnection are **up 833%** since 2022. Power is the new oil, and the grid is the new pipeline.

§ FIVE — INFERENCE

For the first time, in 2026, the capital spent on *running* AI models (inference) will exceed the capital spent on *training* them. This is a permanent shift. The toll roads of this new economy are the companies that provide the networking fabric (Arista), the custom silicon (Broadcom), and the specialized cloud infrastructure (CoreWeave) that make inference cheap and fast.

My position in SOXL is a concentrated, liquid expression of this substrate thesis. It is a direct investment in the picks and shovels of the agent gold rush.

SECTION VII

The Window.

VII

The window is still open. But I can hear it beginning to slide shut.

The market has not yet priced the second-order effects of infinite, low-cost cognitive labor. It is still using the old maps. This is the source of the remaining alpha.

What will close the window for good? The moment “agent-driven productivity” becomes a standard question on every quarterly earnings call, just like “FX headwinds” or “supply chain costs.” The moment it becomes a mandatory field in every analyst’s spreadsheet. When that happens, the great repricing will be over. The consensus will have caught up.

> *I believe we have 18 to 24 months before that happens.*

This essay is not a solicitation. It is an explanation of my worldview and the actions I have taken based on it. Agentic Capital was founded to compound capital for a small number of partners who share this conviction. We are looking for people who see the same fracture in the world that I do.

Read this. If it resonates, and you feel the same urgency I do, apply. I personally review every application.

The five-thousand-year-old monopoly on cognitive labor has been broken. We are investing in the consequences.

— DEAN GALLAGHER, GENERAL PARTNER, AGENTIC CAPITAL.
APRIL 2026.

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The window is still *open*.

Agentic Capital Fund LP. 3(c)(1) under Rule 506(c) of Regulation D. One hundred accredited investors maximum. $1,000,000 minimum.

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AGENTIC CAPITAL

AUTONOMOUS ALPHA

For all of recorded human history, every economic model shared one hidden assumption. That assumption broke in 2024.

Delaware LP investing in the AI → Robotics → Space sequence.

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I The Constraint That Just Lifted
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III Semiconductors
IV Robotics

V Space
VI The Sequence
VII The Window

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